

Google Ads Evaluation Recap

Performance Analysis & Recommendations

August - September

OVERVIEW

1

KPIs Definition

2

Summary

3

Overall Performance
Trends

4

Campaign Analysis

5

AdGroup Insights

6

Key Findings / Possible
Cause

7

Recommendations

1. KPIs Definition

Key Performance Indicators (KPIs) that we monitor

Profit | Efficiency

$$\text{TRR (Total Return Rate) : } \frac{\text{Total Conversion Value}}{\text{Cost}}$$

$$\text{CPA (Cost Per Acquisition) : } \frac{\text{Cost}}{\text{Conversions}}$$

Adds Attractiveness

$$\text{Click Through Rate(CTR): } \frac{\text{Clicks}}{\text{Impressions}}$$

Website or Marketplaces Effectiveness

$$\text{Conversion Rate: } \frac{\text{Conversions}}{\text{Clicks}}$$

Adds worth | Value

Total Conv. Value

2. Summary

During the analysis of the given period (August - September 2013), we observed a worrying phenomenon. Although advertising costs increased by almost half (40%) in September, the Total Conversion Value decreased by 15%, leading to a significant reduction in the TRR index (-40%).

Delving into the problem, our investigation showed that this is not due to an increase in Cost Per Click (CPC) or a possible fluctuation in lower positions, as these specific metrics remained almost stable.

Our primary hypothesis focuses on a potential decrease in the Conversion Rate of the Site or Marketplaces from late August onwards, and the difference in attractiveness between Campaigns 1 and 7.

Additionally, we recommend immediate intervention on the low-performing "Campaign 7" and its individual AdGroups. Worth noting is the performance of "Campaign 1", as its CPA is €0.67.

3. Overall Performance Trends

Months Comparison

By directly comparing the numbers, we can easily see that September was statistically a very poor month.

While we are paying more for our advertisements (by 40%) and the number of Clicks as well as impressions is increasing, it is observed that the desired actions (conversions) are fewer than in August by approximately 10%.

This logically raises the question "Why?", which we will answer as we proceed.

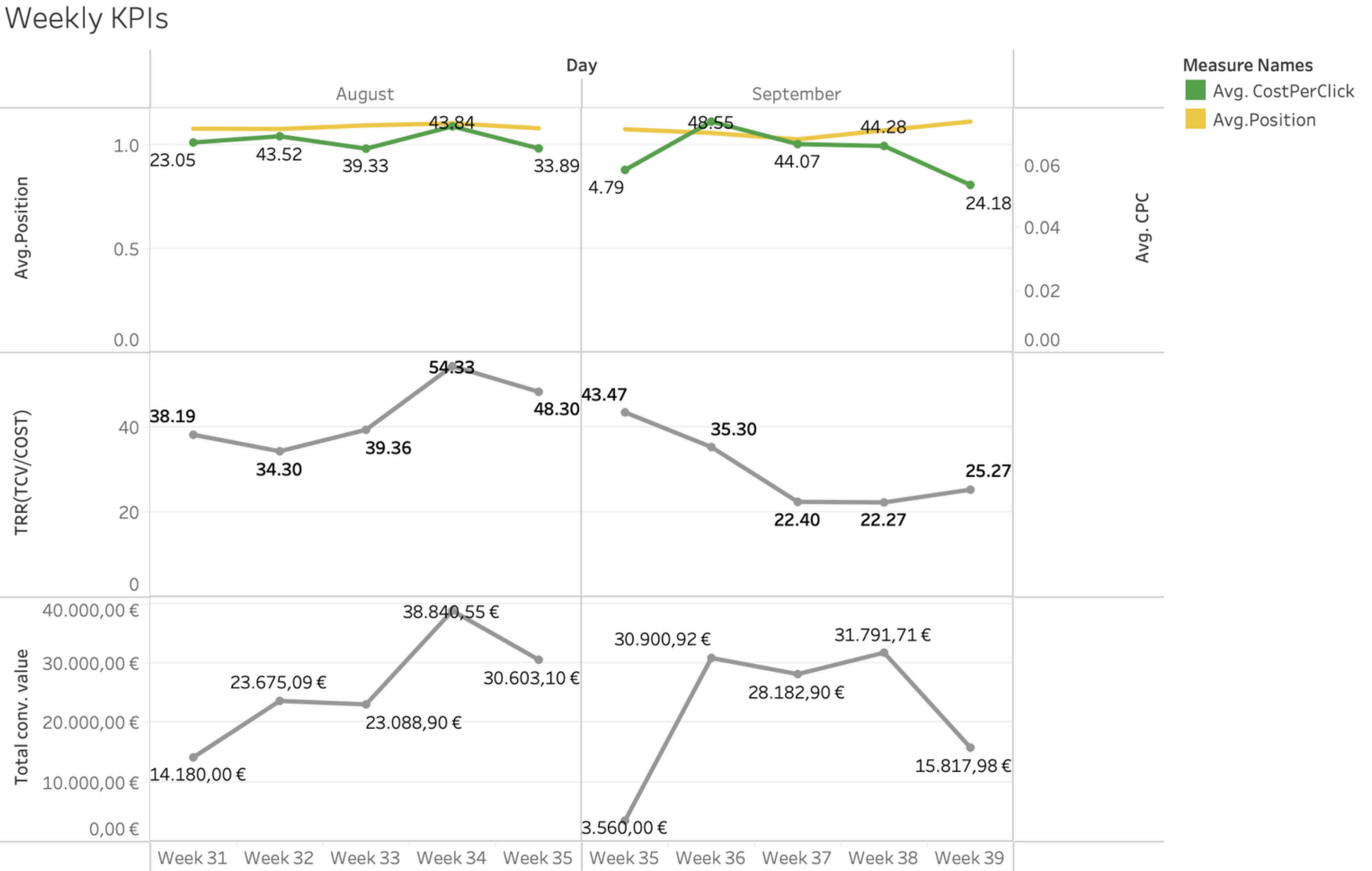
Big Picture Monthly Performance

Month of D..	
August	Impressions : 5.507.270
	Clicks : 61.757
	Conversions : 1.923
	Cost : 2.996,56 €
Total Conv : 130.387,64 €	
September	Impressions : 5.892.818
	Clicks : 75.732
	Conversions : 1.886
	Cost : 4.269,03 €
Total Conv : 110.253,51 €	

3. Overall Performance Trends

Key "Success" Metrics: Weekly Comparison

We observe that the CPC and average position metrics remained stable throughout the time period. In contrast, the TRR peaked in late August and subsequently experienced a rapid decline. From the above, we conclude that the drop in profitability is not attributable to more expensive Clicks or Impressions.



3. Overall Performance Trends

Day Performance Analysis



--> Greater Conversi...



Key "Success" Metrics: Daily Comparison

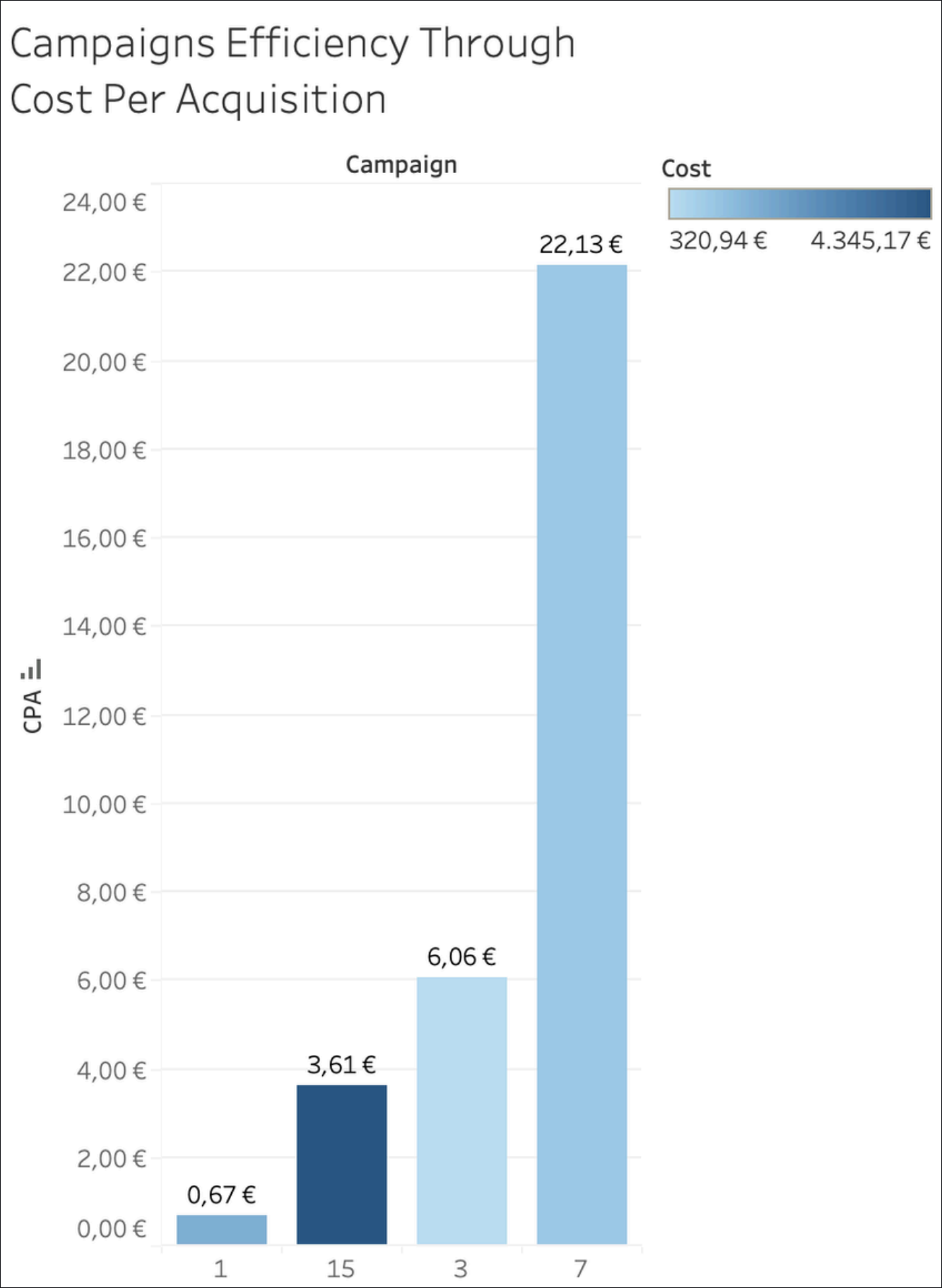
Using the Tree Map, we can easily distinguish that the dark colored sections (representing days) have the highest Conversion Rate, which makes them the most profitable days. This provides a useful framework as we can incorporate this information into the planning of future advertising campaigns.

4. Campaign Analysis

Campaign Efficiency

Observing the diagram, Campaign 1 is our most efficient campaign with a CPA of just €0.67. Whereas Campaign 7 is the most expensive, with a CPA of €22.13. It is noteworthy that Campaign 15, even though it is the highest-spending (or 'most costly in terms of budget'), maintains a reasonable CPA of around €3.61 given the data.

The question that arises is what makes Campaign 7 so costly?



4. Campaign Analysis

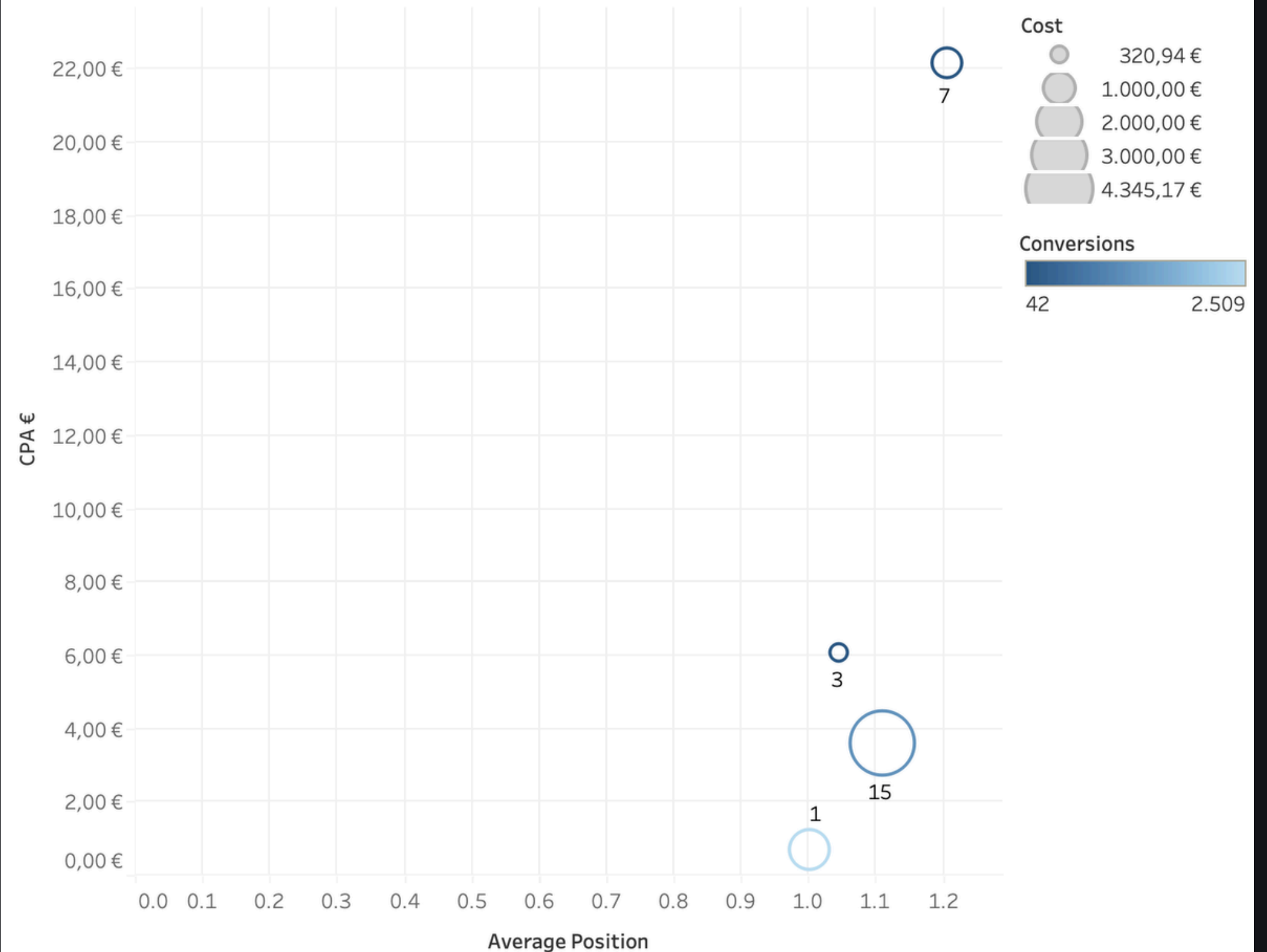
Performance of each Campaign based on average position

This diagram correlates the CPA of each campaign with its average impression position. We see Campaign 1 achieving a low CPA at a top position (~ 1.0).

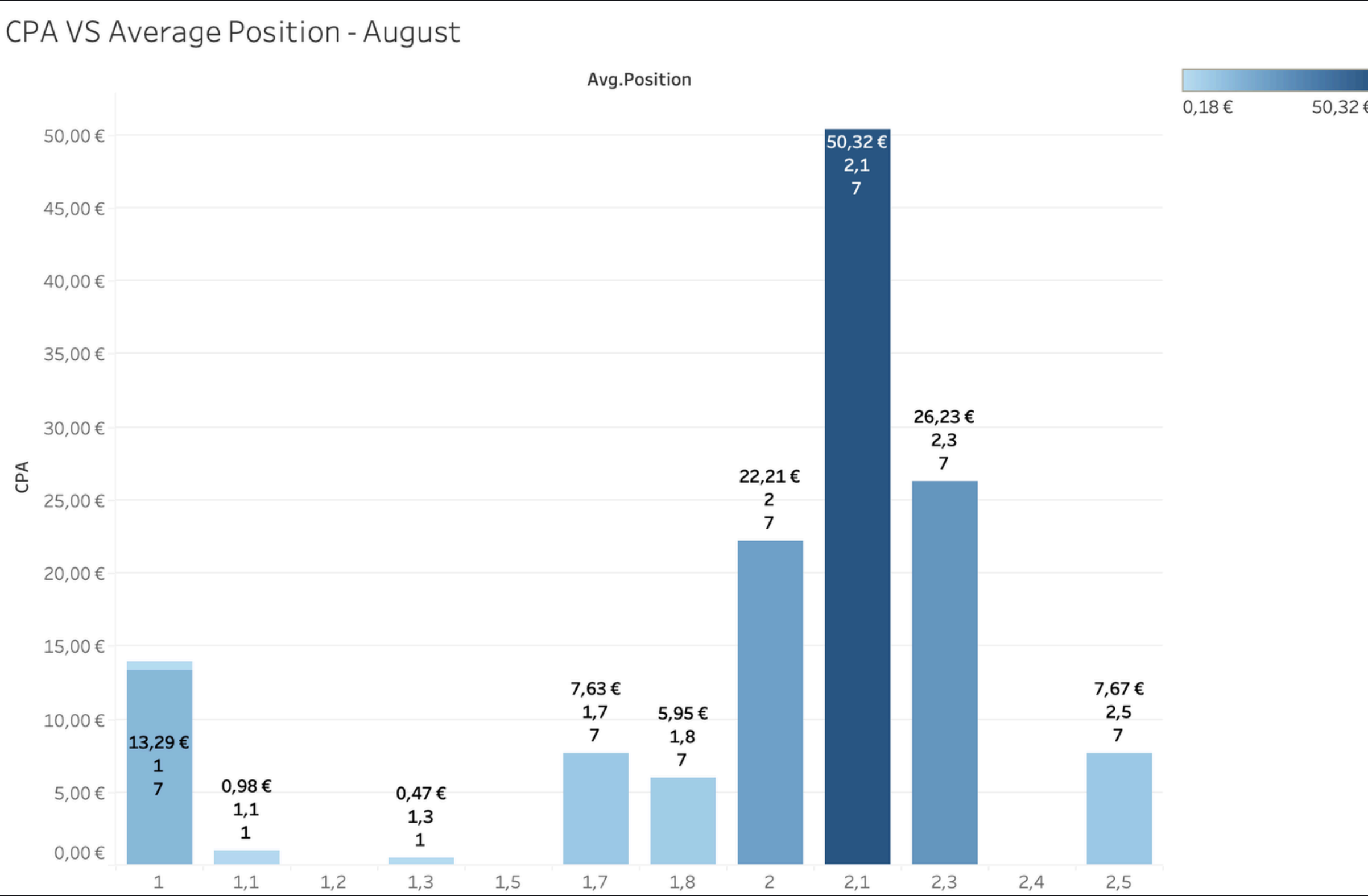
Campaign 7 has a worse position (~ 1.2) and the worst CPA. However, Campaign 15, in a similar position to Campaign 7 (~ 1.1), has a much better CPA.

Therefore, position alone **does not explain** the poor performance of Campaign 7.

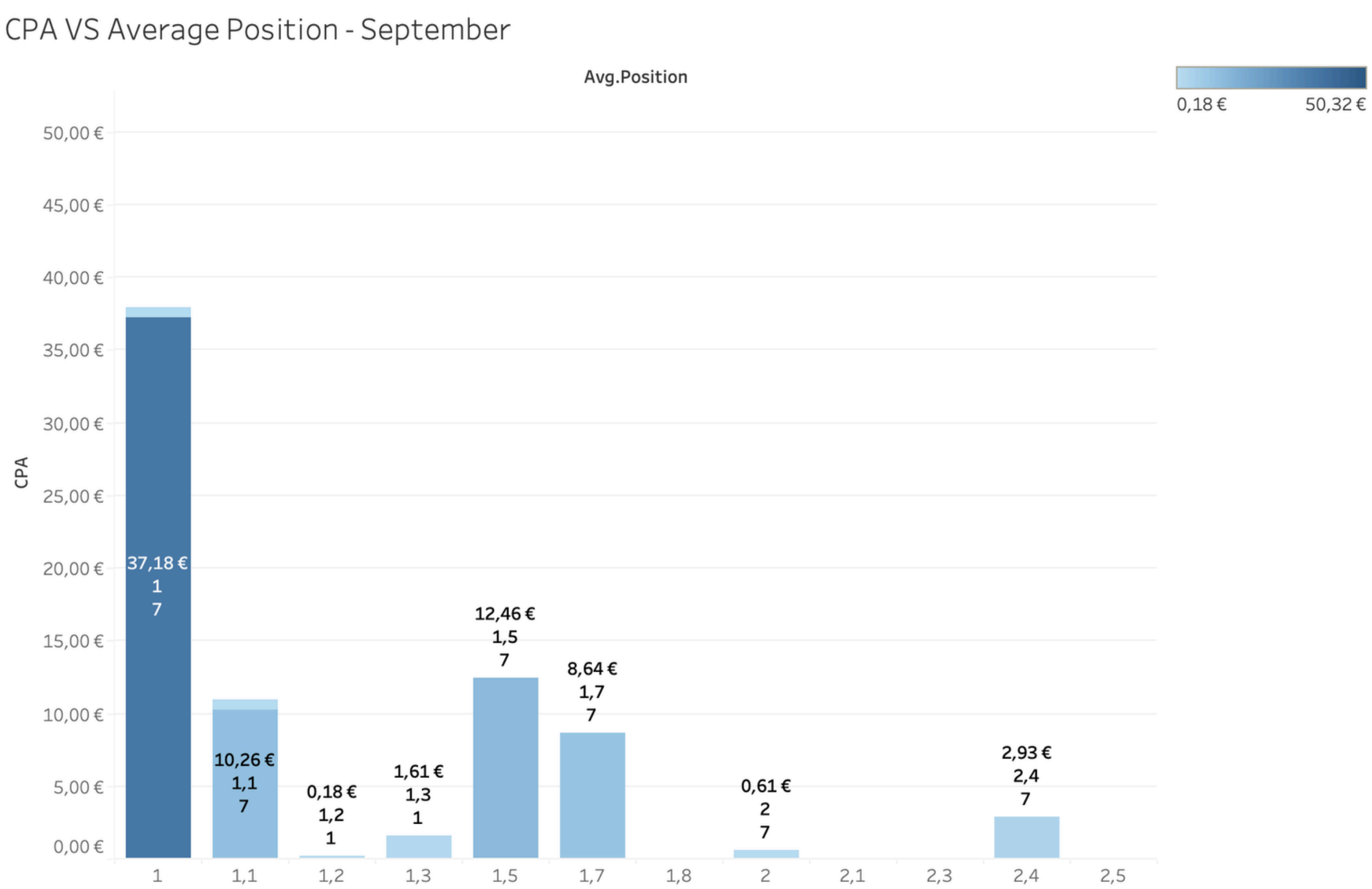
CPA & Position Analysis



4. Campaign Analysis



4. Campaign Analysis



4. Campaign Analysis

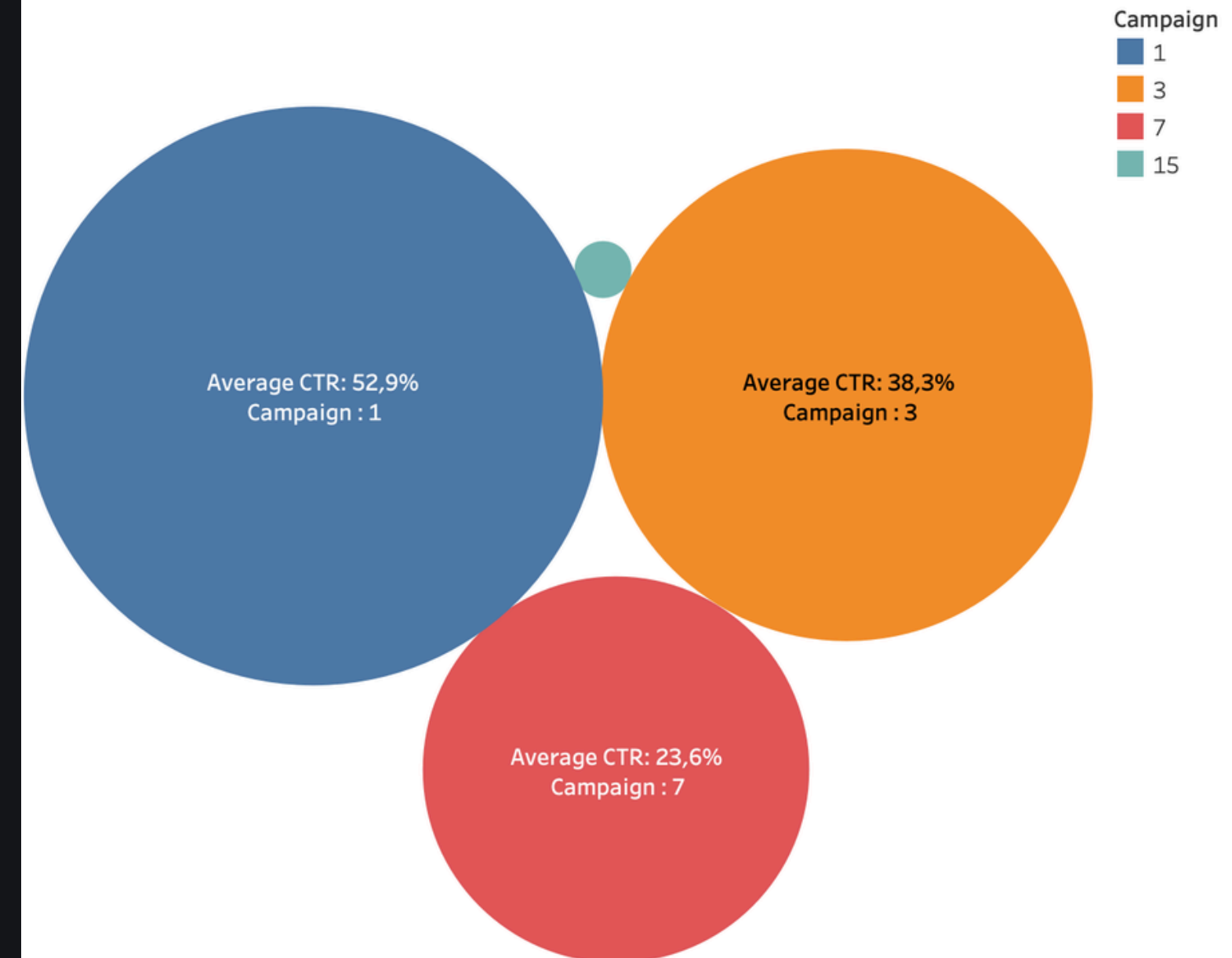
How Appealing Were Our Campaigns?

We observe that Campaign 1 is the most appealing with a CTR of 52.9%, while Campaign 7 has a CTR of just 23.6%.

Consequently, we can easily draw an initial conclusion as to what the issue is, as Campaign 7 requires more impressions to get more Clicks in order to achieve conversions.

This is a **significant factor** that leads it to be more expensive than the others.

AD Efficiency Through Campaigns



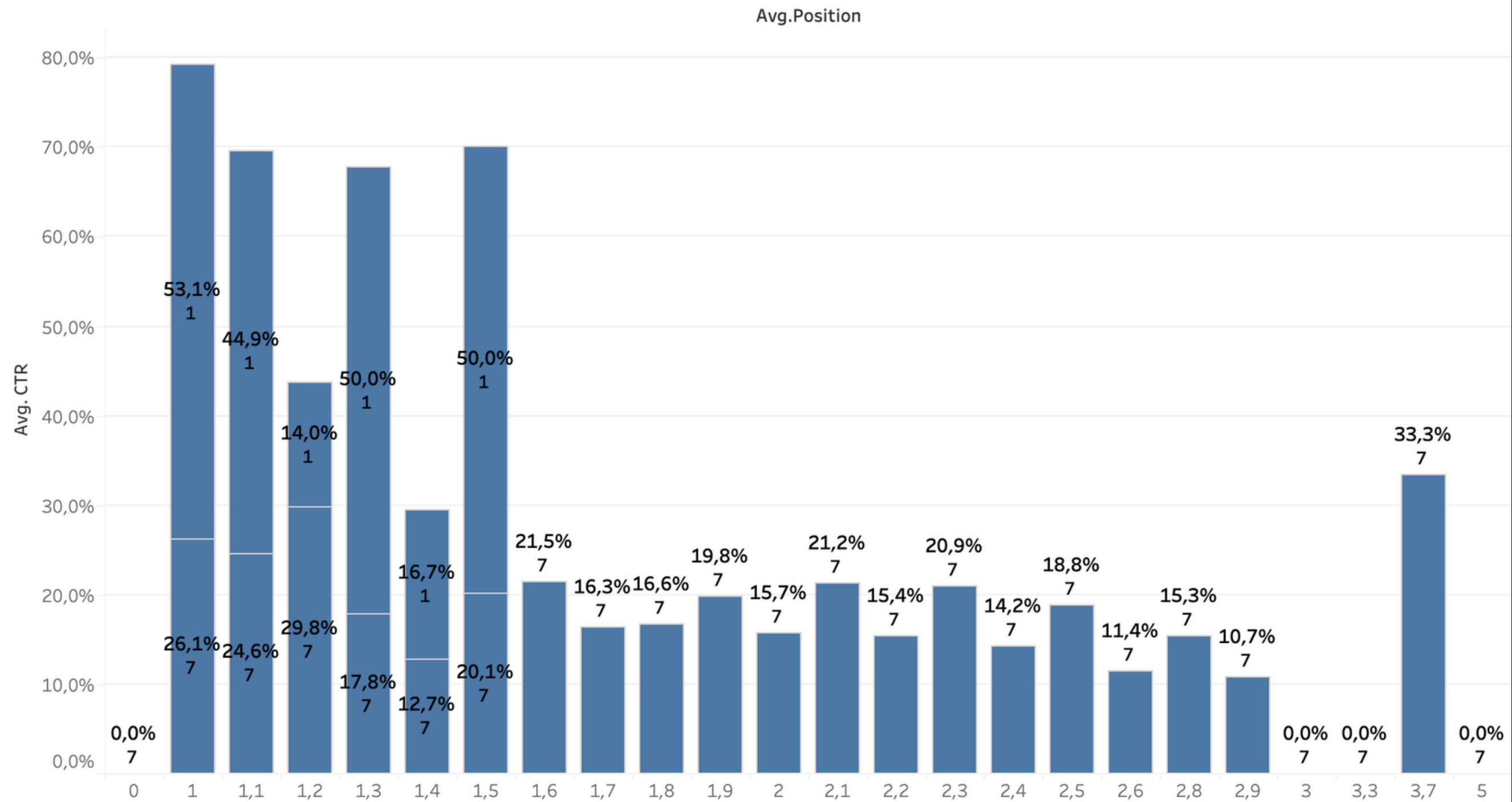
4. Campaign Analysis

Comparison of Campaigns 1 & 7: Appeal (CTR) and Average Position

Essentially, this **verifies** the importance of position and **the difference in appeal** that exists between the 2 Campaigns. Campaign 7 has half the CTR of Campaign 1 in relatively lower positions, while it peaks at 33.3% in position 3.7.

Note for better interpretation:
Optimal performance for CPA means low values (less cost), whereas for CTR, it means high values (greater appeal/engagement). They operate with opposite logic regarding what is considered "desirable".

Click Through Rate(CTR) across Positions
Campaign 1 vs Campaign 7



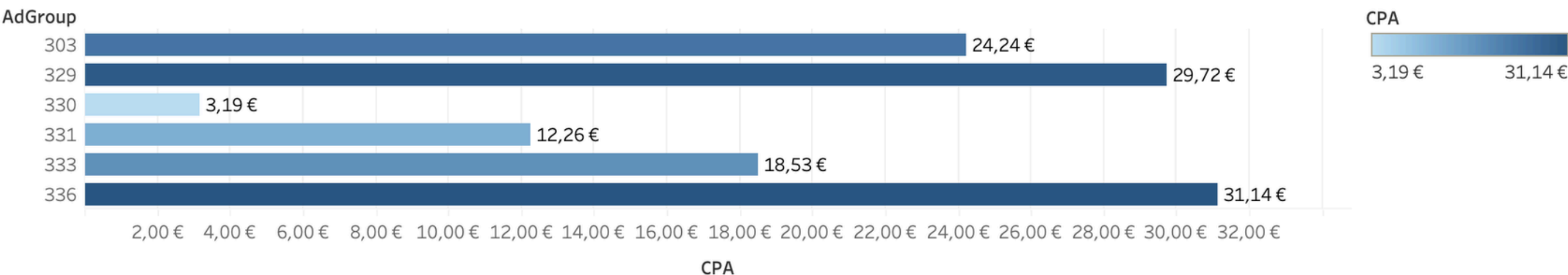
5. AdGroup Insights

Deep Dive into Campaign 7 AdGroups

Looking deeper into Campaign 7's AdGroups, we observe that the majority show exceptionally high CPA metrics.

Nevertheless, AdGroup 330 comparatively has the best performance (**CPA = €3.19**) and appears to be an opportunity for us to focus primarily on this.

AdGroup Performance through CPA on Campaign: 7



5. AdGroup Insights

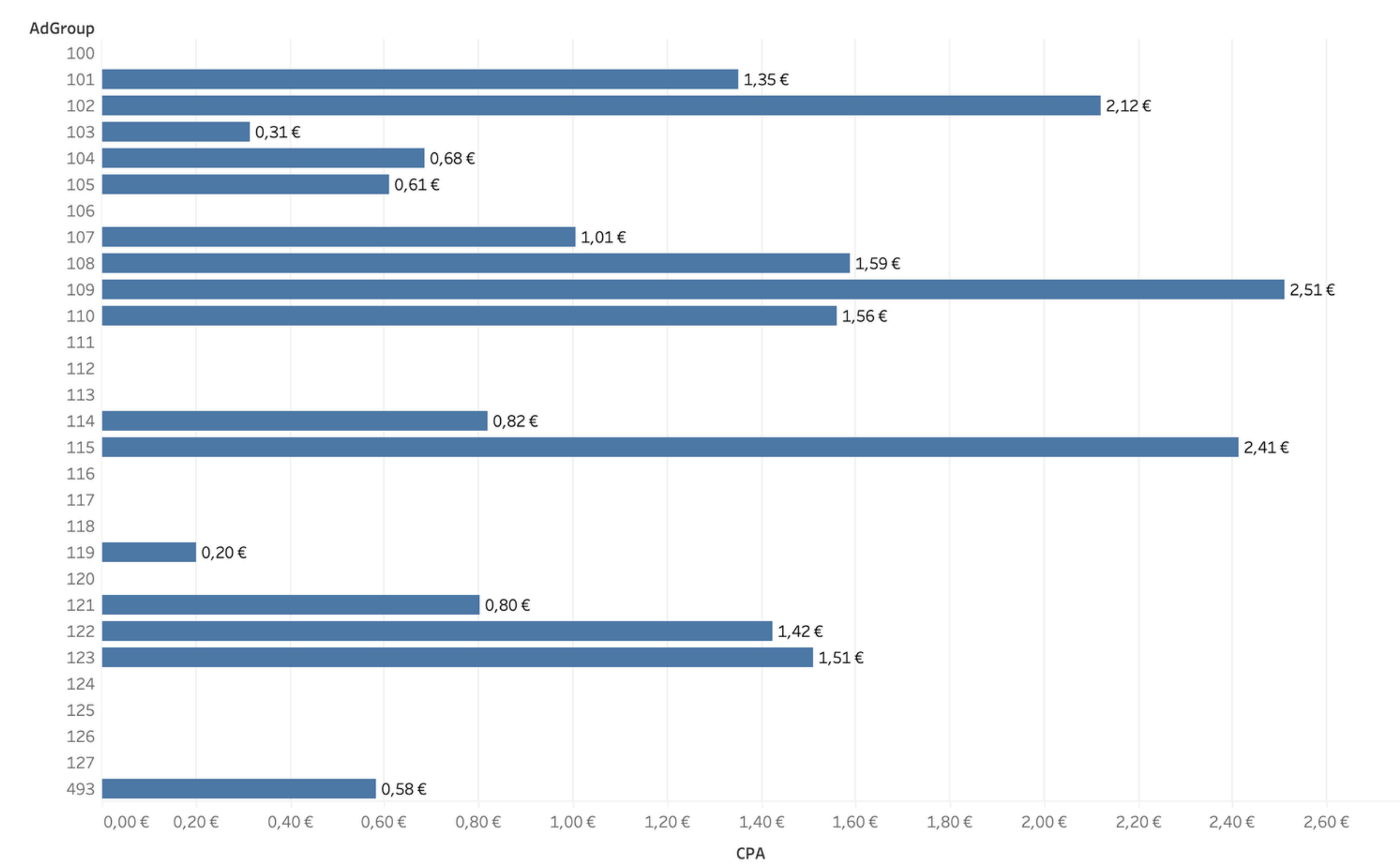
Opportunities for Further Development via Campaign 1

Also delving deeper into Campaign 1, we observe that the AdGroups stand out with exceptionally low CPAs (€0.20, €0.31, ...).

These are **potential areas** for growth by investing more! However, we should re-evaluate the available headroom for such an expansion in order to avoid potential risks.

E.g., the extent to which Impressions can be increased and if there is an upper limit.

AdGroup Performance through CPA on Campaign:1



6. Key Findings / Possible Cause

In Conclusion

6. Key Findings / Possible Cause

Analysis Result

Our Analysis confirmed the drop in revenue for the month of September as well as the TRR performance metric, while the cost of advertising investment increased significantly.

Diagnosis

A critical finding is that during this decline, there was relative stability in the cost "drivers": Average Cost Per Click (CPC) & Average Position. That is to say, they did not have significant changes enough to cause such a drop.

Campaigns Conclusion

Here is the translation of the text into English:

The difference in appeal between the campaigns is significant based on the metric (CTR - Click-Through Rate). However, the most important point is that Campaign 7 is inefficient and excessively costly (HIGH CPA - LOW CTR) and needs to be adjusted.

6. Key Findings / Possible Cause

Possible Causes

Seasonality

One possible reason, independent of the observed statistics, that may have played a role is seasonality, as September marks a change of season, which may have led to the drop in appeal, assuming that the advertisements were directly related to "Vacations" or products that are in high demand in the summer.

Conversion Issue

Combining our established findings, namely that acquiring Clicks did not become more expensive, nor less visible, a possible cause for the drop in effectiveness could be the decrease in post-Click effectiveness, as the desired actions were not taken on the Website or Marketplace. More specifically, the Conversion Rate metric experienced a gradual decline that started from late August.

7. Recommendations

Recommended Action Plan

Investigation of the Conversion Rate

- Identification of potential technical issues on the Website or regarding User Experience.

Restructuring of Campaign 7

- Immediate intervention and reduction of CPA for Campaign 7, initially targeting AdGroups with CPA > 20, to improve its efficiency.
- Increase the CTR of Campaign 7, making it more appealing.

Potential Optimization for Campaign 1

- Evaluate top-performing AdGroups for potential budget increase, checking the scalability of impressions.

Improved Scheduling

- Create a framework for day-based bid adjustments, guided by their performance as shown in the Day Tree Map on page 3.

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